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U.S. SECURITIES AND EXCHANGE COMMISSION

Crypto Assets

A crypto asset is an asset that is generated, issued, and/or transferred using a blockchain or similar distributed ledger technology network, including assets known as “tokens,” “digital assets,” “virtual currencies,” and “coins.”

Investors should know that the characteristics and design of crypto assets, and the distributed ledger or blockchain technology through which they are issued and/or transferred, can vary significantly. In other words, different crypto assets can present different benefits or risks.

**“The future of finance will be built somewhere.
Through Project Crypto, we ensure that it is built here,
under rules that protect investors, promote innovation,
and cement America’s leadership in the global financial system.”**

— SEC Chairman Paul S. Atkins

Key topics and resources relating to crypto assets are listed below.

Project Crypto

Project Crypto is a joint initiative between the Securities and Exchange Commission (SEC) and the Commodity Futures Trading Commission to explore the possibilities unleashed by tokenization, including an innovation exemption framework for permissioned on-chain finance.

A key component of Project Crypto (https://www.sec.gov/newsroom/speeches-statements/atkins-111225-secs-approach-digital-assets-inside-project-crypto) is the SEC's Crypto Task Force, which seeks to provide clarity on the application of the federal securities laws to the crypto asset market and to recommend practical policy measures that aim to foster innovation and protect investors.

For more information, visit the Crypto Task Force (https://www.sec.gov/featured-topics/crypto-task-force) page on SEC.gov.



Tokenized Securities

Tokenized securities (also called "digital securities") are financial instruments – such as stocks, bonds, or fund interests – that are formatted as or represented by a crypto asset recorded on a blockchain or similar distributed ledger.

For more information, visit Tokenized Securities (/introduction-investing/investing-basics/investment-products/tokenized-securities) .

Custody

Crypto asset "custody" refers to how and where you store and access your crypto assets. You generally access crypto assets through a device or computer program referred to as a crypto wallet. Crypto wallets do not store crypto assets themselves; instead, they store the "private keys" or passcodes for your crypto assets.

For more information, review Crypto Asset Custody Basics for Retail Investors – Investor Bulletin (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/crypto-asset-custody-basics-retail-investors-investor-bulletin-0) .

Exchange-Traded Products

Many investors gain exposure to crypto assets through exchange-traded products (ETPs), including exchange-traded funds (ETFs). These products can provide exposure to different types of crypto assets, such as bitcoin and ether.

For more information, review ETPs Providing Exposure to Bitcoin and Ether – Investor Bulletin (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/ETPBulletinSeptember2024) .

Scams Involving Crypto Assets

Many relationship investment scams involve crypto assets. In relationship investment scams (https://www.investor.gov/protect-your-investments/fraud/types-fraud/relationship-investment-scam) , fraudsters — including criminals and other bad actors — often hide their true identities, reach out to unsuspecting targets (often online or through text messages), gain their trust over time, and then defraud them through fake investments. For more information, review 5 Ways Fraudsters May Lure Victims Into Scams Involving Crypto Asset Securities – Investor Alert (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-alerts/crypto-scams) .

In addition, fraudsters may impersonate the SEC or well-known financial experts on social media or in text messages or group chats to solicit investors for scams involving crypto assets. For more information, read SEC Impersonators May Lure Investors Into Scams Through Social Media or Text Messages – Investor Alert (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-alerts/sec-impersonators-may-lure-investors-scams-through-social-media-or-text-messages-investor-alert) .

Fraudsters also may misuse SEC Form D filings to create a false appearance of legitimacy. A Form D is not evidence of SEC approval or registration. If individuals or firms falsely claim that they are registered with the SEC, do not trade with them, do not give them any money, and do not share your personal information with them. For more information, review Beware of Claims That the SEC Has Approved Offerings - Investor Alert (https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-alerts/investor-alert-beware-claims-sec-has-approved-offerings) .

Contact the SEC

- Use our online forms to ask a question or report a problem (https://help.sec.gov/s/)

concerning your investments.

- Report a possible securities fraud (https://www.sec.gov/submit-tip-or-complaint/tips-complaints-resources/report-suspected-securities-fraud-or-wrongdoing)

Related Content

The SEC's Approach To Digital Assets: Inside "Project Crypto"

Read SEC Chairman Paul S. Atkins speech outlining next steps for crypto assets.

(https://www.sec.gov/newsroom/speeches-statements/atkins-111225-secs-approach-digital-assets-inside-project-crypto)

Asset Allocation, Diversification, And Rebalancing 101

Learn about key strategies for managing risk and building a balanced investment portfolio over time.

(/introduction-investing/getting-started/asset-allocation)

SEC's Crypto Task Force

Learn more about the SEC's Crypto Task Force and how it is engaging with members of the public.

(https://www.sec.gov/featured-topics/crypto-task-force)